Sample Question Paper-2

ECONOMICS

Class-12

SOLVED

Time Allowed: 3 hours

Maximum Marks: 80

General Instructions:

1. *Answer all questions in Section A, Section B and Section C.*
2. *Section A consists of objective/ very short answer type questions.*
3. *Section B consists of short answer questions.*
4. *Section C consists of long answer questions.*
5. *The intended marks for questions or parts of questions are given in brackets [ ].*

Section - A [16 Marks]

Question 1

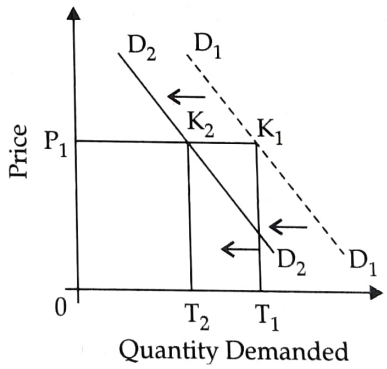
(i) The law of demand states, with increase in price there is: [1]

(a) Decrease in quantity demanded
(b) Increase in quantity demanded
(c) Decreased demand
(d) Increased demand

(ii) In the long period, the supply for a commodity is: [1]

(a) Perfectly inelastic
(b) Less elastic
(c) Highly elastic
(d) Perfectly elastic

(iii) [1]



In the figure given above, D_1 is demand curve. It shifts to D_2 which is a case of:

(a) Decrease in income of the consumer of a normal good
(b) Increase in income of the consumer of an inferior good.
(c) Both (a) and (b)
(d) None of these

(iv) A demand curve parallel to Y axis signifies:

(a) Perfectly elastic.
(b) Perfectly inelastic.
(c) Elastic.
(d) Inelastic.

(v) Tax in which burden of tax and responsibility to deposit tax lies on the same person is called:

(a) Direct tax
(b) Indirect tax
(c) GST
(d) Excise Duty

(vi) Which of the following precaution must be taken into account while estimating national income by income method?

(a) While estimating compensation of employees all benefits accruing to the employees whether in cash or in kind must be included.
(b) In estimating interest, the interest on only those loans should be included which are taken for production.
(c) Gifts, donations, charities etc. should not be included in estimating national income.
(d) All of the above.

(vii) In agriculture market, products are very similar. Carrots, potatoes, and grain are all generic, with many farmers producing them. As the product is homogenous, it is easy to buy some land and farm it. Additionally, it is also easy to leave the market too. This is an example of: [1]
(a) Monopoly (b) Monopolistic competition
(c) Perfect Competition (d) None of these

(viii) Producer's equilibrium under MR – MC approach is achieved when: AI [1]
(a) MR = MC (b) MC > MR after equality between MR and MC
(c) Either (a) or (b) (d) Both (a) and (b)

(ix) Complete the following table: AI [1]

Income (Y)	APC	MPC	Consumption Expenditure
1,000	0.50		500
2,000	0.55	–	–
2.500	0.60	–	–

(x) What is Aggregate Demand? [1]

(xi) Give two examples of Capital receipts in a government budget. [1]

(xii) State whether the following is True or False. Give one reason for four answer.
"Domestic Income is the sum total of factor income by normal residents of a country the period of on accounting year"

(xiii) Name the characteristic which makes monopolistic competition different from perfect competition. [1]

(xiv) Why is average revenue curve negatively sloped under monopolistic competition? Explain. AI [1]

(xv) What does S = f(Y) signifies? [1]

(xvi) What is Private Consumption Expenditure? [1]

Section - B [32 Marks]

Question 2

(i) The following headline appeared in the newspaper –
"The sharp rise in the value of the rupee against the dollar and high inflation could hit festive season demand for smartphone makers. Smartphone makers will have to pass on the increased costs to end consumers at a time when consumers are holding on to their purchases. It makes the upcoming festive season sales even more difficult for the brand". Analyse the statement with reference to the demand for smartphones. AI [2]

(ii) A consumer buys 30 units of a good at a price of ₹ 10 per unit. Price elasticity of demand for the good is (–)1. How many units the consumer will buy at a price of ₹. 9 per unit? Calculate. [2]

Question 3

(i) Highlight two differences between sales tax and income tax. [2]

(ii) Discuss two methods of Redemption of public debt in an economy. [2]

Question 4

(i) What is meant by Total Cost? [2]

(ii) Calculate Marginal Cost at each level of output: AI [1]

Output (Units)	AVC (Average Variable Cost) (₹)
1	24
2	22
3	20
4	18
5	18
6	20

Question 5

(i) Explain any two features of monopolistic competition. [2]

(ii) How firms are interdependent in oligopoly form of market? [2]

OR

Market for a good is in equilibrium. Demand for the good 'Increases'. Explain the chain of effects of this change. [4]

Question 6

(i) What change will take place in marginal revenue when:

(a) Total Revenue increases at an increasing rate.

(b) Total Revenue increases at a diminishing rate. [2]

(ii) In a perfectly competitive market, the buyers treat products of all the firms as homogeneous. Explain the significance of this feature. [2]

Question 7

(i) Define Deflationary Gap. A1 [2]

(ii) Explain the role of Margin Requirement to Reduce Deflationary Gap. [2]

Question 8

(i) How do Commercial Banks create deposits? Explain.

OR

(i) Explain the 'Bank of Issue' function of the Central Bank.

Question 9 [2]

(i) What is investment multiplier? How is its value determined? What can be its minimum and maximum value? [4]

Section - C [32 Marks]

Question 10

(i) What type of Production Function is this in which only one input is increased and others kept constant? State the behaviour of Total Product in this Production Function. [6]

(ii) Define Total Product. [2]

Question 11

(i) What is a Fixed Exchange Rate? [2]

(ii) How is the foreign rate of exchange determined in a flexible exchange rate system? [6]

OR

(i) Indifference Curves are always convex to the origin. Justify the statement. [2]

(ii) A consumer consumes only two good X and Y and is in equilibrium. Price of X falls. Explain the reaction of the consumer through utility analysis. [6]

Question 12

(i) What is a Circular Flow of Income? [2]

(ii) From the following data calculate, Gross National Product at Factor Cost by (a) Income Method, and Expenditure Method. A1 [6]

Items	₹ in crores
(i) Government Final Consumption Expenditure	200
(ii) Private Final Consumption Expenditure	400

(iii) Profits	160
(iv) Net Indirect Taxes	60
(v) Rent	70
(vi) Interest	50
(vii) Compensation of Employees	300
(viii) Exports	65
(ix) Imports	95
(x) Gross Domestic Capital Formation	80
(xi) Consumption of Fixed Capital	10
(xii) Net Factor Income to Abroad	50

OR

(i) Define GDP. [2]

(ii) Calculate Net Domestic Product at Factor Cost by (a) Income Method, an (b) Production Method from the following data: [6]

Items	₹ in crore
(i) Net value Added at market price by primary sector	1,000
(ii) Wages and salaries	2,000
(iii) Social Security Contribution by Employers	100
(iv) Net value added at market price by the secondary sector	600
(v) Corporation Tax	30
(vi) Retained Earnings of Private Corporations	10
(vii) Net value added at market price by the tertiary sector	1,400
(viii) Dividend	60
(ix) Rent	300
(x) Interest	300
(xi) Net Indirect Tax	200
(xii) Social Security Contribution by Employees	80

Question 13

Read the passage given below and answer the questions that follow.

Demand for gold is widespread observable fact around the world, in which India's share alone comes to around 25%. Hutti gold mine company located in Karnataka is the only company in India which produces gold by mining and processing the gold ore. Over the past 5 years; Indians have recycled an average of 105 tons of gold per annum. In October 2008, demand for gold increased; celebrations like Diwali and Akshaya Tritiya was the main factor for this vast increase in demand. Imports of gold started falling from December 2008 by 83%, followed by 91% in January 2009.In march 2009 imports were ZERO. In 2005, demand went up and the price also went up. Indian people tend to invest in gold because of culture and belief, so the demand always remains elastic. In 2004, Indians enjoyed a rapid increase in income, which made the Indians to consume more and more gold even though the price was increasing. Certain non-price factors like income of the consumer, prices of related goods, consumers taste and preferences, population and expected future price of the good also effects of the increase in the price of gold. Later on, in the year 2009, platinum, which is a substitute good for gold started declining from ₹ 35,000 to ₹ 22,000 which made the people of India to purchase platinum as a substitute good for gold.

Source: symbiosiscollege.edu.in

(i) Define Demand. [1]

(ii) How the price of related goods affects the demand for a commodity? [2]

(iii) How income of the buyer affects the demand of the commodity? [2]

(iv) What is the relationship between price and demand? [2]

(v) What economic variables are measured along x-axis and y-axis for the determination of demand curve? [1]